# After Equilibrium: Expectation Mismatch, Real Deindustrialization, and the Roots of Anti-globalization Politics

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**Abstract**

Why has free trade become harder to sustain in its maturity than in its rise? Prevailing accounts locate trade backlash primarily among liberalization's losers. Yet backlash intensified long after those losses were absorbed, increasingly driven by policymakers across parties rather than by electoral pressure. I argue that the cause is top-down, and support for openness rests on a promise: states tolerate costly adjustment because trade would reward their comparative strengths. Comparative advantage, however, is a claim about where trade settles, not whether that settlement endures. As liberalization matures, foreign upgrading, technology diffusion, and state-backed distortions can threaten incumbent advantages, producing an expectation mismatch: trade no longer reads as a bargain that legitimated openness and managed transitions, and elites begin to reinterpret it as unfair, producing real deindustrialization, and politically unsustainable. I test this theory in the context of U.S. trade politics. I combine rich evidence from congressional speeches (1981-2024), the Section 301 action as the unprecedented trade policy reversal since WWII, and the U.S.-Japan and U.S.-China trade conflict cases, showing protection concentrating in incumbent advantage sectors facing imminent competitive threat, broadening as the threat turns systemic. Contemporary anti-globalization is not the politics of displaced losers, but of *threatened winners* eroding the political sustainability of the openness bargain.

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# 1 Introduction

Why has globalization, especially free trade, become harder to sustain in its maturity than in its rise? Over the past decade, skepticism toward trade openness has intensified across countries and, in the United States, spread across party lines: Republicans who once defended liberalization now support tariffs and industrial policy, while Democrats who once focused on the costs of adjustment increasingly converge on the same instruments. The European Union has imposed tariffs on Chinese electric vehicles,[1] while Mexico has raised duties to protect varied industries its development relied on.[2] This is puzzling because, if backlash followed the losses liberalization imposes, opposition should have peaked when liberalization relentlessly displaced vulnerable sectors and their workers, not decades after they were gone.

Existing accounts explain trade politics without addressing this question. Research on exposure to import competition identifies who is harmed and traces the electoral consequences (Autor et al. 2020; Colantone and Stanig 2018; Broz et al. 2021). Work on trade attitudes explains who supports openness (Hiscox 2002; Hainmueller and Hiscox 2006; Mayda and Rodrik 2005; Scheve and Slaughter 2001). Neither explains the timing, since the broad turn arrived long after the impact those studies measure, nor the agency, since recent restrictions were driven top-down by policymakers rather than affected constituents. Accounts of elite cueing explain how trade skepticism spreads (Ballard-Rosa et al. 2024; Guisinger 2017), but not why elites revised their own position. Security accounts explain why states restrict particular chokepoints (Carnegie and Gaikwad 2022; Farrell and Newman 2019), which is nonetheless compatible with continued trade commitment. What remains unclear is the change of position among the actors who once defended free trade.

This paper argues that trade backlash intensifies not because of loss alone, but when globalization appears to threaten the *promise* that had justified the political bargain that made openness acceptable in the first place. This promise is that trade would reward the

[1] European Commission, 2024

[2] Government of Mexico, 2023.

sectors a country expects to win in. The promise rests on comparative advantage - the relative strength in producing something - which has long anchored both trade theory and the political case for openness (Costinot et al. 2015). Conventional trade-politics theories are strongest at explaining the politics of initial liberalization: moving from autarky to trade equilibrium, which I call *before equilibrium*. In that setting, even trade distortions are often politically inert within a logic of "managed transition," because the sectors are widely understood to be economically inefficient. Trade had been defended on the promise that advantage sectors would expand, export, and sustain national prosperity; the contraction of disadvantage sectors was accepted as the price of that promise.

The promise, however, is a claim about where trade settles, not a guarantee that the settlement endures; comparative advantage can erode. Comparative advantage is not just an efficiency theorem; it is also a political expectation. I analytically distinguish the period and call it *after equilibrium*: the period after the initial distributive reallocation of liberalization is presumed to have stabilized, and yet, competitive pressures can continue reshaping sectoral advantage. Technological diffusion, undervaluation, and state-backed industrial upgrading can move trading partners into sectors long understood as national advantage. At that point, distortions no longer appear as tolerable adjustments, especially when fewer new sectors are created (e.g., "destructive creation"); they are evidence that the bargain itself is failing. A state now experiences genuine deindustrialization. Backlash, on this account, is the politics of threatened winners rather than displaced losers. The resulting gap between what was promised and what it now faces is an *expectation mismatch* (Kahneman and Tversky 1979; Tversky and Kahneman 1991). When that gap opens, policymakers stop viewing trade as a bargain with manageable costs and instead reinterpret it as one that has failed, or, as former National Security Advisor Jake Sullivan put it (Sullivan 2023):

> "*America's industrial base had been hollowed out . . . The postulate that deep trade liberalization would help America export goods, not jobs and capacity, was a promise made but not kept.*"

This argument yields two predictions. Contemporary protection should concentrate in sectors that combine durable comparative advantage with a competitor's revealed intention to erode them, not in the sectors trade theory already expected to contract. The scope of the threat should also govern the type of the response. A bounded threat leaves the rest of the advantage sectors still confirming the promise, so a government can contain its response to targeted protection. A systemic threat leaves no unaffected part of the promise still holding, so the response generalizes into a broader, more bipartisan turn against trade openness.

I test the argument on the United States across three bodies of evidence. First, text analysis of the congressional record (1981-2024) reveals what policymakers said their concerns were, and shows the stated basis of elite trade positions shifting from technocratic discussions of efficiency and adjustment toward the narratives of deindustrialization, unfairness, and national decline across both parties. Second, product-level analysis of the 2018 Section 301 tariffs, the unprecedented reversal in postwar American trade policy (Fajgelbaum et al. 2020), tests which products a government selects for protection rather than managed transition. Exploiting the first rounds of tariffs on over 4,000 products, I find that targeting was 29 percentage points more likely in broad sectors central to U.S. industrial advantage that China had publicly identified for entry. Within those sectors, furthermore, targeting was an additional 15 percentage points more likely for HS6 products in which the United States retained a durable comparative advantage. Lastly, the case studies of U.S.-Japan and U.S.-China trade conflict episodes support the mechanism in specific and broad sectors, respectively, and trace how the scope of perceived threat, whether sectoral or systemic, shapes the form of the response. Together, these analyses show that the politics of trade are not governed simply by who loses from initial liberalization; they are ultimately determined by whether globalization continues to reward what originally justified openness.

The paper makes three contributions. First, it emphasizes a phase for which existing trade-politics theories have no framework. After equilibrium is the period in which a country's own advantage sectors, not only its disadvantage ones, can lose the position the initial bargain assumed was settled. It specifies the political consequences that follow: backlash driven by threatened winners rather than displaced losers. Second, it shows how elite trade positions are endogenous to structural change in the world economy, which complements accounts in which elites simply transmit positions as given responses to openness exposure. Lastly, it specifies when backlash stays contained rather than becomes a general turn against openness: a bounded threat leaves the rest of the promise intact, while a threat reaching many advantage sectors at once does not.

Conventional accounts explain trade protection as compensation for the disadvantaged. This paper offers an inversion. The mechanism is not confined to advanced economies: Mexico has raised tariffs on products from textiles to automobiles, and Indonesia has extended safeguard duties on textiles and footwear, where free trade had promised not only comparative advantage but a path to upgrade beyond it.[3] The argument may reach beyond trade politics. Policy regimes that impose distributive present costs for diffuse future gains, from pension systems to NATO's mutual-defense guarantee, are sustained by a similar promise. They are weakened not by expected costs, but by an unrealized promise. Where that is the mechanism, compensation cannot repair the damage from a disappointed forecast.

# 2 A Theory of Expectation Mismatch

## What existing accounts leave unexplained

The politics of trade has well-developed accounts of who opposes openness and why. At the individual level, support tracks skill and factor endowments (Mayda and Rodrik 2005; Scheve and Slaughter 2001), education (Hainmueller and Hiscox 2006), and consumption (Baker 2005). Sociotropic accounts find that attitudes track judgments about the national economy more closely than personal circumstances (Mansfield and Mutz 2009). At the aggregate level, import competition harmed employment in exposed regions and shifted local politics

[3] Indonesia Ministry of Finance, 2024

toward the extremes (Autor et al. 2020; Broz et al. 2021; Colantone and Stanig 2018).

The contemporary anti-free trade turn falls outside this work. The first is timing. Conventional trade-politics theories are strongest when explaining the politics of initial liberalization; opposition should be strongest when displacement occurs. Yet, the broad anti-free trade turn arrived much later, after shocks had plateaued. The second is agency. Recent restrictions were designed by policymakers rather than extracted from constituents, through interagency processes that ran against industry petitioning.

Two further strands of literature bear on the question without settling it. Work on elite cues shows that mass opinion responds to elite and media framing (Ballard-Rosa et al. 2024; Guisinger 2017). Yet the revision is what requires explanation. Work on economic security and strategic competition explains why states restrict particular chokepoints (Carnegie and Gaikwad 2022; Farrell and Newman 2019). A government may block the export or import of a sensitive product while continuing to hold that trade in general serves its interests. This literature, therefore, does not account for the weakening of a general commitment to openness.

## Free trade: the promise hardly kept

At its core, comparative advantage is the canonical answer to why nations trade (Costinot et al. 2015). Ricardo first stated it as a case for open trade between England and Portugal (Ricardo 1817): trade raises welfare through specialization in low-opportunity-cost goods and exchange for imports. Within economics, the concept is close to unquestioned: it has been called the "deepest and most beautiful result in the field" (Findlay 1987), an "unassailable intellectual cornerstone" (Harrigan 2003), and the "one proposition in social science that is both true and non-trivial" (Samuelson 1972). Much about trade has changed, yet the original principles still apply (Krugman and Obstfeld 2009).[4] The reasoning became the *promise* of

[4] Comparative advantage is not confined to the early models; it carries forward into later models of increasing returns (Krugman 1980), firm heterogeneity (Melitz 2003), and fragmented production (Grossman and Rossi-Hansberg 2008), such as advantages among firms and along supply chains.

free trade on which liberalization was publicly defended: contraction in disadvantage sectors is worth accepting because openness would reward advantage sectors.

For trade policy, comparative advantage has been at the heart of informed reasoning about globalization (Baldwin 2016). From postwar liberalization through the World Trade Organization (WTO), this reasoning has deeply influenced liberalization policy and pro-trade sentiment alike (Service 2021; Samuelson 1972; Williamson 1990). The 1998 "Economic Report of the President Clinton" described American comparative advantage as evolving toward skill-intensive goods and services, well positioned to gain from trade liberalization and driving domestic innovation and production (Council of Economic Advisers 1998); "good" jobs in exporting sectors can offset displaced inefficient plants (ibid). The case for China's accession to the WTO rested on the same list, with Chinese tariff cuts in American advantage products presented as the gains justifying the import competition (Office of the United States Trade Representative 2000).

None of the theories, however, supply what the paper's political case requires: how long that pattern lasts. The long-run effect of trade openness is itself debated (Garrett 2000; Krugman 1987; Lawrence and Weinstein 1999; Rodríguez and Rodrik 1999), with the predicted settlement depending on conditions that often do not obtain, such as adjustment mechanisms of trade balances and little friction. Scale economies, undervaluation, directed industrial policy, or shifts in endowments can move a country's advantage away from what its underlying conditions would imply (Krugman 1987; Rodríguez and Rodrik 1999).

As such, two phases of a liberalization episode should be analytically distinguished. *Before equilibrium*, or early integration, is the phase in which an economy moves from relative autarky toward the equilibrium liberalization promises, and it is the phase a classical trade model describes. Trade appears complementary because it is behaving as the promise described, domestic contraction of disadvantage sectors is seen as the means of gain, and the political response is usually "managed transition" such as adjustment assistance or targeted anti-dumping in vulnerable sectors at worst. Trade distortions exist but losing primarily disadvantage sectors makes them politically inert, because they appear to be speeding up a shift the promise endorsed. Empirically, this describes the first two decades after 1945 and the first decade after China's WTO entry, in both of which the United States primarily lost disadvantage sectors.

One's comparative advantage can erode or disappear over time. *After equilibrium*, in contrast, names the period in which the initial reallocation of liberalization is presumed to be consolidated, while competitive pressures continue to reshape sectoral advantage. Classical trade models say little about this phase, because they concern which sectors a country ends up specializing in rather than how long that specialization survives. Distortions that went unremarked in the first phase become conspicuous once incumbent advantage sectors face erosion, as they did in the ongoing second China shock. Distortions are not new; what changes is their legibility.

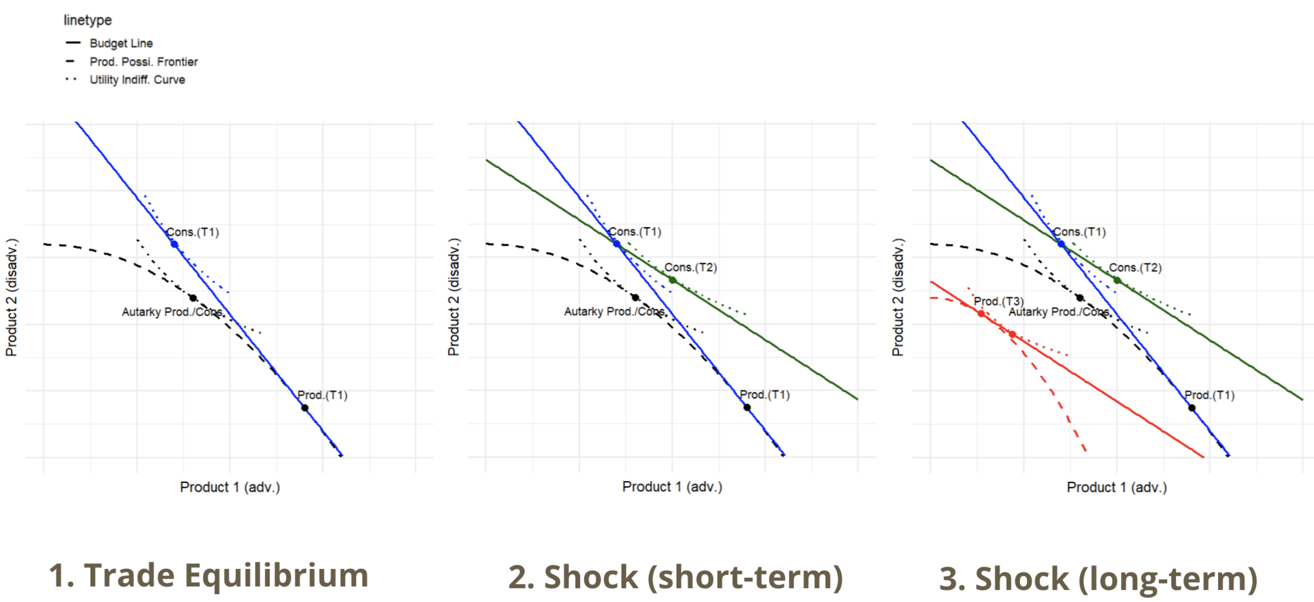


Figure 1: Illustration: Utility Change during"After Equilibrium"

Losing advantage sectors is economically costly. Technical progress by a partner, in goods where the home country held comparative advantage, can permanently reduce home real income (Samuelson 2004). Krugman (1987) showed that learning-by-doing can make early specialization self-reinforcing, allowing temporary shocks to shift comparative advantage permanently. Baldwin (2016) argues that the unbundling of production after 1990 can shift national advantage through the reorganization of global value chains. Figure 1 shows that losing advantageous sectors completely nullifies trade gains by lowering a country's production levels. These results show that countries may accept the loss of disadvantage sectors, but continued losses in advantage sectors break the promise of trade, making it appear not efficiency-enhancing but self-defeating.

## Expectation mismatch: mechanisms

What these results do not address is political: how the expectation mismatch destabilizes a policy regime, changes beliefs, and affects the instruments governments choose. The bipartisan turn away from liberal trade orthodoxy reflects an expectation mismatch: policymakers had expected openness and comparative advantage to preserve American prosperity and technological leadership, but increasingly interpreted the erosion of domestic capacity and strategic advantage as evidence that the promise had failed. Table 1 documents this convergence in the recent statements of senior officials responsible for trade, industrial, and national-security policy across the Trump and Biden administrations. Despite their partisan differences, these officials increasingly portray the postwar trade model as falling short of prior expectations, particularly by eroding U.S. productive capacity and weakening core industries. This diagnosis differs from the earlier emphasis on import competition harming disadvantaged sectors. The convergence across parties and policy domains points to an unprecedented shift in elite beliefs about trade openness.

Three mechanisms can make the unmet promise politically distinctive. The first concerns the reference point against which outcomes are judged. Outcomes are evaluated relative to an expected path rather than in absolute terms (Alesina and Passarelli 2019; Kahneman and Tversky 1979; Tversky and Kahneman 1991). A sector the promise assigned to contraction is already in the baseline, so its decline registers as expected, whereas a sector the

Table 1: Cross-Partisan Convergence on Elites' Trade Attitudes

| **Role** | **Democratic** | **Republican** |
|---|---|---|
| Trade | **Katherine Tai**, USTR (Tai 2023): "*When efficiency and low cost are the only motivators [in trade], production moves outside our borders.*" | **Robert Lighthizer**, USTR (Lighthizer 2021): "*Policymakers, business leaders, economists... need to abandon the dogma of trade from 18th-century philosophers...*" |
| Foreign | **Jake Sullivan**, National Security Advisor (Sullivan 2023): "*In the name of oversimplified market efficiency, entire supply chains—along with the industries and jobs that made them—moved overseas... The traditional model doesn't cut it.*" | **Marco Rubio**, Secretary of State/National Security Advisor (Rubio 2025): "*An almost religious commitment to free and unfettered trade at the expense of our national economy... collapsed industrial capacity.*" |
| Commerce | **Gina Raimondo**, Sec. of Commerce (Raimondo 2024): "*Ensure unfair trade practices do not threaten our competitiveness... trade policy that will help protect key U.S. industries*" | **Howard Lutnick**, Sec. of Commerce (Lutnick 2026): "*that the old globalist line of thinking has been a disaster for America*" |
| Treasury | **Janet Yellen**, Sec. of Treasury (Yellen 2022): "*Friendshoring is our approach to advancing trade that is free and fai*r" | **Scott Bessent**, Sec. of Treasury (Bessent 2026): "*[in trade] low prices would compensate for lost capacity... those assumptions failed to materialize.*" |

promise assigned to expansion sits above the baseline, so its decline registers as a loss. Apparel contracted sharply after 2001 and drew adjustment assistance, while Chinese entry into semiconductors and automobiles after 2010 produced a national reaction, even though American exports in those products remained substantial. Existing applications of this idea use a sector's own past as the baseline, predicting protection for industries already in decline (Baldwin and Robert-Nicoud 2007; Freund and Özden 2008; Tovar 2009). The two accounts thus make opposite predictions.

The second mechanism governs the *intensity* of the reaction following the reappraisal of the sunk losses. Leaders accept costly institutional commitments only so long as the institution continues to deliver the benefits that justified joining it in the first place (Keohane 1984; Koremenos et al. 2001). When advantage sectors are subsequently threatened, the condition can fail. Simple loss cannot produce this effect, because reinterpretation requires that the past losses were conditional on future gains. This is what gives the reaction its moral charge — the path to the rhetoric of unfairness, not mere disappointment. Permanent normal trade relations with China were defended on the ground that China would open its market to American advantage sectors, and import competition in labor-intensive goods was presented as the condition of obtaining that access. The congressional record after 2010 fits the pattern, with legislators increasingly complaining that trade relations with China failed to create jobs.

The third mechanism concerns the *scope* and *durability* of the reaction by removing the basis for accepting future losses. Support for openness was a commitment to a promise about what liberalization would deliver; a failure discredits the reasoning that produced it. Policymakers can therefore no longer appeal to the promise when defending further openness, and what is damaged is the authority of the promise to guide subsequent policy. That accounts for the escalation from sectoral disputes spreading to deals that may be irrelevant to the original promise. The Trump administration's TPP withdrawal, with its tariffs retained in full by the successor from the opposite party, is what a discredited promise produces and what a partisan or constituent grievance does not.

## Theoretical predictions

The costs of trade openness are immediate and concentrated, but its benefits come later in particular sectors. The promise is what lets a policymaker defend present losses. Because perceived threat to advantage sectors removes what made the existing costs defensible, the political response may therefore exceed the measured damage or even precede it. Distributional pressure runs the other way, felt locally and reaching national politics through representation.

The scale of backlash should follow the scope of the threat. A bounded threat can leave the promise intact for the rest of the economy, so a government can defend the sectors under pressure while still holding that openness rewards the national economy. The instruments are targeted protection, managed trade, and sectoral agreements. A systemic threat covering many of the advantage sectors rules out that reconciliation, because what is contested is no longer whether one industry survives.

Additionally, perceived threat should not produce generalized backlash where new advantage sectors are visibly emerging, since the promise is being kept elsewhere; where the state lacks instruments to respond (e.g., dependence on the competitor); or where the sector is peripheral to its economy. This condition may answer a question sociotropic accounts leave open, which is why some sectoral declines register nationally and others do not. Passenger rail and shipbuilding declined without political effect, while erosion in automobiles and semiconductor design draws broad concern, and the difference does not appear to lie in magnitude. I derive the following two tests:

**H1 (threatened winner)**: when a government responds to competitive pressure rather than being driven by constituency pressure in the "after-equilibrium" period, protection concentrates in comparative advantage sectors with perceived threat.

By contrast, managed-transition instruments show the opposite prediction, since adjustment assistance and injury-based duties are usually triggered by demonstrated harm to disadvantage sectors during the liberalization period.

**H2 (scope)**: A bounded threat produces targeted instruments, whereas a systemic threat covering a wide range of sectors erodes the promise and produces broad restrictions and a general turn against openness.

# 3 Research Design

I test the argument in the United States for three reasons. The U.S. exhibits a clear bipartisan and temporal reversal in elite trade attitudes. It is also the case in which the theory should be hardest to sustain, since the United States is the architect of the postwar trade regime and the least likely of its members to abandon the reasoning behind it. Finally, it offers a variation of the threat scope the argument requires: the U.S.-Japan conflict of the 1980s and the U.S.-China conflict of the 2010s and 2020s are both episodes in which advantage sectors came under pressure, with differences in scope.

Three bodies of tests follow. The congressional record from 1981 to 2024 documents the revealed basis of elite trade positions. It shows what policymakers said the problem was and whether that account changed, providing support for the central claim. The product-level analysis of the 2018 Section 301 action, the sharpest reversal in postwar American trade policy, is the main test for *H1* directly. Estimated on earlier protection episodes, the same specification also speaks to the paper's temporal claim, that the pattern in Section 301 is not a standing feature of American trade policy but one specific to periods when threat reached advantage sectors. Finally, the case studies of U.S.-Japan and U.S.-China trade conflict episodes provide evidence for *H2*, which concerns the scope of threat.

## Data and sample

Unlike adjustment assistance and antidumping duties, which respond to constituency pressure from demonstrated material injury in import-competing sectors, the 2018 Section 301 action represents the cleanest test of strategic product selection. It was not only the beginning of systemic anti-free trade measures from the United States retained by the Biden administration, but also a top-down process, justified by foreign industrial ambitions that "put the future of the U.S. economy at risk" rather than by constituency pressure.[5] In particular, List 1 (announced July 6, 2018, $34 billion) and List 2 (announced August 23, 2018, $16 billion) were assembled by an interagency committee anchored to the 2018 Section 301 investigation report, working downward from MIC2025 sector categories to individual HTS-8 tariff lines. Although the USTR opened an exclusion process shortly after, it was not for import-competition firms seeking protection; most such requests were denied solely based on the USTR's rigid discretion.[6] The following Lists 3 and 4 ($200 and $300 billion respectively), by contrast, expanded coverage sharply in response to a broader tit-for-tat retaliation escalation and generated more than 50,000 exclusion requests and only serve as placebo checks.

The analysis proceeds at the six-digit Harmonized System (HS-6) product, the finest classification at which consistent bilateral trade data are available. The sample is narrowed down to manufacturing HS chapters 28 through 96, excluding agriculture (chapters 01-24), mineral fuels (chapter 27), and other primary commodities, which are governed by distinct political economy logics. Trade-flow data come from the BACI trade database (Gaulier and Zignago 2010), which reconciles reported import and export values into a symmetric matrix at the HS-6 level for more than 200 countries annually from 1995 through 2022 for

[5] "Statement By U.S. Trade Representative Robert Lighthizer on Section 301 Action", USTR, July 10, 2018.

[6] Exclusion is limited to 10-digit HTS subheading and does not remove the parent 8-digit HTS heading, my unit of analysis of the original USTR targets (USTR 2019). The USTR evaluates exclusion requests case by case, considering: (1) availability from non-Chinese sources, (2) importer attempts to source the product from outside of China, (3) severe economic harm to the importer or other U.S. interests, and (4) the strategic importance to "MIC2025" or other Chinese industrial programs (Congressional Research Service 2020).

constructing the Balassa index later. All trade values are in thousands of current US dollars.

The period for measuring comparative advantage spans 2001 to 2007, the years between China's WTO accession and the onset of the global financial crisis, the window in which the first China shock in US manufacturing was most acute (Autor et al. 2013; Pierce and Schott 2016). Sectors that collapsed before 2007 are revealed as genuinely disadvantage sectors (e.g., textiles, furniture) that never formed the durable expectation the theory requires. I restrict data to products with non-missing pre-period BACI coverage and completing the concordance to the tariff lists.

## Dependent variable

The dependent variable, $Targeted_k$, is a binary indicator equal to one if HS-6 product $k$ was included on Section 301 Lists 1 and 2, and zero otherwise. List content is drawn from the USTR Federal Register notices, which enumerate targeted products at the 8-digit HTS level. Within manufacturing, approximately 4,000 eligible lines existed, of which roughly 1,300 were affirmatively selected, suggesting the targeting reflects deliberate, product-specific judgments rather than blunt sectoral protection. I map each HTS-8 code to its first six digits and construct a concordance from the HS-2017 revision to the HS-1992 revision used by BACI.[7]

For supplementary analysis, I disaggregate the combined indicator into List-1-specific and List-2-specific dependent variables. Since the lists overlap partly, I restrict the List-1 estimation sample to products not exclusively on List 2, and vice versa, so that products targeted by the other are not misclassified as untargeted controls.

## Key independent variables

The central explanatory variable, $StableCA_k$ captures whether product $k$ represented a sector of durable US comparative advantage after the 2001-2007 trade shock. I operationalize comparative advantage using the revealed comparative advantage (RCA) index (Balassa

[7]USTR 2018 HTS codes are in HS-2017 space.

1965):

$$\mathrm{RCA}_{k,t} = \frac{X_{\mathrm{US},k,t} \,/\, X_{\mathrm{US},t}}{X_{W,k,t} \,/\, X_{W,t}} \tag{1}$$

where $X_{\mathrm{US},k,t}$ denotes total US exports of product $k$ in year $t$, $X_{\mathrm{US},t}$ total US manufacturing exports, $X_{W,k,t}$ world exports of product $k$, and $X_{W,t}$ total world manufacturing exports.[8] RCA values above one indicate that the US exports product $k$ at a higher share of its total export portfolio than the world average, the conventional threshold for revealed comparative advantage in international economics (Balassa 1965; Leromain and Orefice 2014).[9]

I compute annual $\mathrm{RCA}_{k,t}$ for each HS-6 product over 2001-2007 using the full BACI bilateral trade matrix, summing across all trading partners for both US and world aggregates. $\mathrm{StableCA}_k$ is then coded one if the mean Balassa RCA over 2001-2007 exceeds one and where the within-period change, $RCA_{2007} - RCA_{2001}$, is no less than $-0.10$:

$$\mathrm{StableCA}_k = \mathbf{1}\left[\frac{1}{7}\sum_{t=2001}^{2007} \mathrm{RCA}_{k,t} > 1 \;\text{ and }\; \mathrm{RCA}_{k,2007} - \mathrm{RCA}_{k,2001} \geq -0.10\right] \tag{2}$$

which establishes that the advantage sectors were those that withstood "China shock 1.0." USTR, as the agency responsible for trade policy, is the kind of actor that would be familiar with sectoral export performance details. As a robustness check, the measure is replicated over 2001-2016 and using coarser HS-4 products with consistent results, and the main results are robust to erosion thresholds of $-0.05$ and $-0.20$. Figure 2 visualizes changes in sectoral RCA at the HS 3-digit level (by aggregating HS-4 categories).

[8] I use gross trade flows because the theory is about political salience and observability; policymakers see gross export volumes rather than value-added-adjusted trade. Nonetheless, I add robustness checks for this.

[9] I also use RSCA (Revealed Symmetric Comparative Advantage, Laursen) and NRCA (Normalized Revealed Comparative Advantage) as robustness checks.

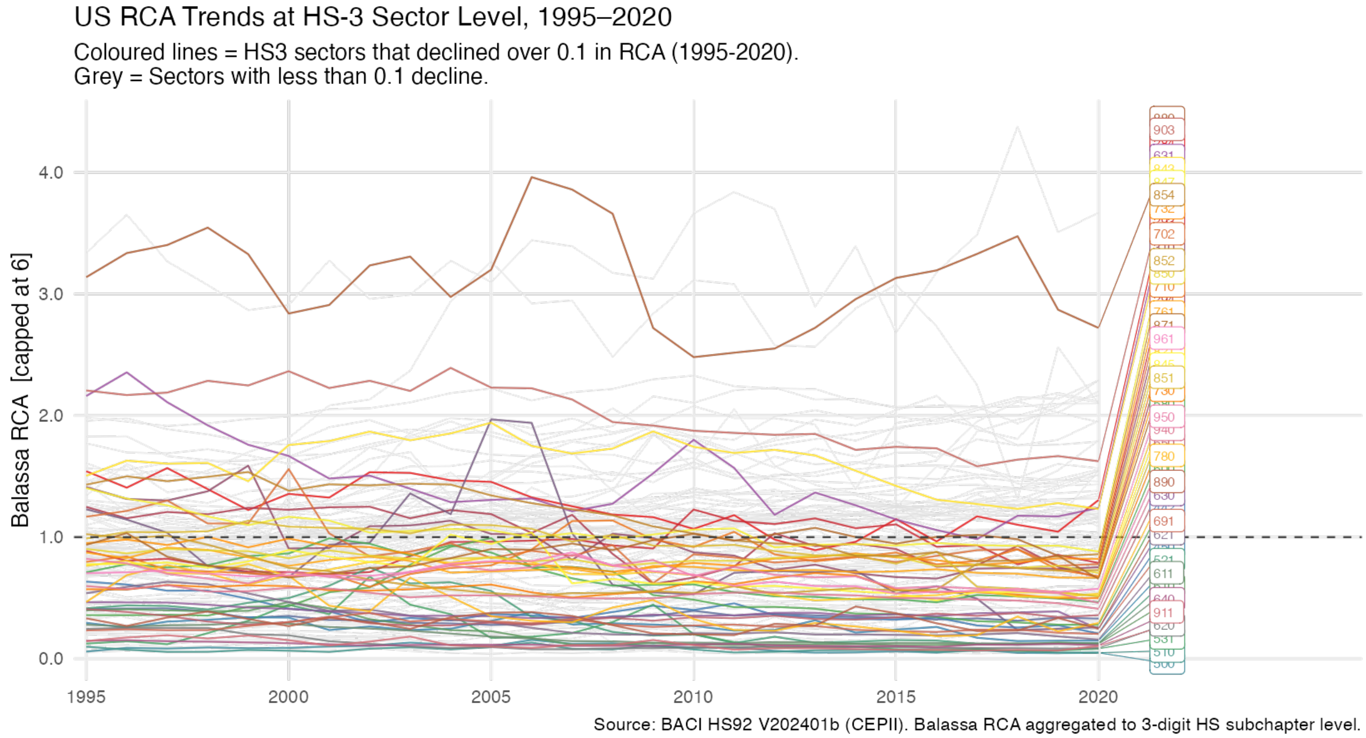


Figure 2: US RCA Trends at HS-3 Sector Level (merged from HS-4), 1995-2020. *Note:* Most declining sectors are U.S. disadvantage sectors, with declines concentrated in 2000-2010 during the first China shock before plateauing.

MIC2025-relevant sectors represent the general sense of U.S. advantage sectors, as well as a proxy for perceived threat, where China signaled an ambition to enter, as the USTR named the program in its own Federal Register notices as the basis for identifying products. "China is dominating robotics/EVs/batteries" is how the threat was broadly articulated publicly and in NSC documents. As such, the variable $MIC2025_i$ equals one if product $i$ belongs to one of eight broad HS-2 chapters that map to MIC2025 target sectors in its terms: pharmaceuticals (HS 30), numerically controlled machinery and robotics (HS 84), next-generation information technology and semiconductors (HS 85), advanced rail equipment (HS 86), new-energy vehicles (HS 87), aerospace equipment (HS 88), ocean engineering and high-technology ships (HS 89), and bio-pharmaceutical instruments and medical devices (HS 90).[10] The mapping follows USTR (2018, Annex C), which identifies MIC2025 sectors by

[10]Chemicals and materials chapters (28-29, 38, 72-76) are excluded because they encompass many basic non-strategic goods (Wübbeke et al. 2016). Adding them generates consistent results.

their overlap with the strategic industries named in China's State Council notice of May 2015.

## Control variables

I control for three groups of covariates, each aimed at ruling out a specific group of confounders.

*Sectoral factors.* Log *U.S. exports* of a sector averaged over 2001-2007 controls for the possibility that larger, more politically organized industries petition to address threats independent of the comparative advantage structure (Grossman and Helpman 1994). I additionally include *U.S. import penetration ratio* of a sector over the same period, capturing import-competing domestic exposure.[11] I also control for log *sector value-added* and *sector total employment* from the NBER-CES Manufacturing Industry Database to rule out the possibility that the comparative advantage measure is merely proxying for employment and output salience.

*Product factors.* Binary indicators for *intermediate goods* and *consumer goods*, constructed following the UN Broad Economic Categories (BEC) classification, control for the systematic avoidance of goods whose restriction would directly raise consumer prices or impede domestic supply chains. Both product categories face distinct political economy pressures and may be systematically under-represented on the tariff lists for reasons unrelated to comparative advantage.

*China factors.* Two controls directly address the primary alternative hypothesis that the USTR targeted Chinese export conditions, without reference to US comparative advantage. Mean share of US imports of a sector originating from China, averaged over 2001-2007, captures the intensity of direct import competition in the US domestic market (Autor et al. 2013). China's own RCA of a sector over the same period rules out that the U.S. could retaliate against Chinese industrial strength. I also control for log US exports to China in

[11] For a given sector $k$, Import Penetration$_k = \frac{\text{Imports}_k}{\text{Domestic Output}_k + \text{Imports}_k - \text{Exports}_k}$.

a sector, capturing products where American exporters had active export exposure to the Chinese market and faced retaliatory risks.

## Estimating strategy

I estimate a linear probability model (LPM) of the form:

$$\begin{aligned}\text{Targeted}_k = \alpha + \beta_1\text{StableCA}_k + \beta_2\text{MIC2025}_k + \beta_3(\text{StableCA}_k \times \text{MIC2025}_k) \\ + \mathbf{X}_k'\gamma + \delta_{h(k)} + \varepsilon_k\end{aligned} \quad (2)$$

where $h(k)$ denotes the HS-2 chapter to which product $k$ belongs, $\delta_{h(k)}$ is a chapter fixed effect absorbed via the within-estimator, $\mathbf{X}_k$ is the vector of controls described above, and $\varepsilon_k$ is an error term. Standard errors are heteroskedasticity-robust. Chapter fixed effects are central to identification and to a limitation. This rules out the possibility that results reflect chapter-level political organizational or industrial characteristics rather than product-level comparative-advantage structure. However, because MIC2025$_k$) is defined at the HS-2 chapter level, it is collinear with the chapter fixed effects, and $\beta_2$, the MIC2025 main effect, cannot be separately estimated once chapter effects are included. $\beta_3$ is the coefficient that carries *H1*: whether stable comparative advantage predicts targeting more strongly within MIC2025-designated sectors than outside them, that is, the threatened winners. The HS-2 chapters that proxy MIC2025 are broad, and each can contain lower-level disadvantage products alongside the advantage products the theory targets (e.g., HS 85 contains both semiconductor products and consumer electrical appliances). I also estimate a model without chapter fixed effects for comparing MIC2025 and non-MIC2025 chapters.

## Case-comparison method for H2

*H2* is tested by structured comparison: the U.S.-Japan conflict of the 1980s and early 1990s, bounded to a few named sectors under the 1986 Semiconductor Agreement, the automobile VERs, and the 1987 machine-tool restraints, against the U.S.-China conflict of the 2010s and

2020s, systemic across the ten MIC2025 sectors and the successive Section 301 lists. Scope is coded from each episode's primary record, and the outcome itself reveals whether protection stayed targeted or generalized into a broader against openness (e.g., Biden's retained tariffs and industrial policies, Trump's "liberation day").

# 4 Empirical Result

## 4.1 Elite discourse: Congressional speeches (1981-2024)

I begin with the descriptive patterns of elite discourse because the theory is centrally about how policymakers interpret trade. If the argument is correct, congressional rhetoric should not merely become more negative over time; it should become negative in a specific way: less focused on transitional adjustment and more focused on deindustrialization, unfairness, and the erosion of national strengths.

To assess this, I analyze U.S. congressional speeches on trade from 1981 to 2024 (97th to 114th Congress), identified by keyword ("free trade" and "trade with China" respectively) and analyzed in two ways: a structural topic model (STM) as an unsupervised check, and LLM-based (TODO) construct-level coding (sector named, advantage-versus-disadvantage framing, attribution) for the measures the theory actually requires.

In Figure 3, the broad pattern is a temporal and bipartisan shift away from technocratic trade talk and toward concerns over manufacturing decline, lost good-paying jobs, unfair competition, and national economic weakening. "Industrial decline" becomes the dominant latent theme after 2010, while traditional security and human-rights frames stagnated. As concerns reached a high level in the early 2010s, dormant anti-free trade rhetoric spiked, and Human rights and security were often framed as justifying anti-trade views. The recurring rhetoric of "hollowing out," "lost good jobs," "unfair trade," and "industrial decline" is consistent with the expectation-mismatch argument: elites are no longer treating trade as a bargain that mostly works despite adjustment costs.

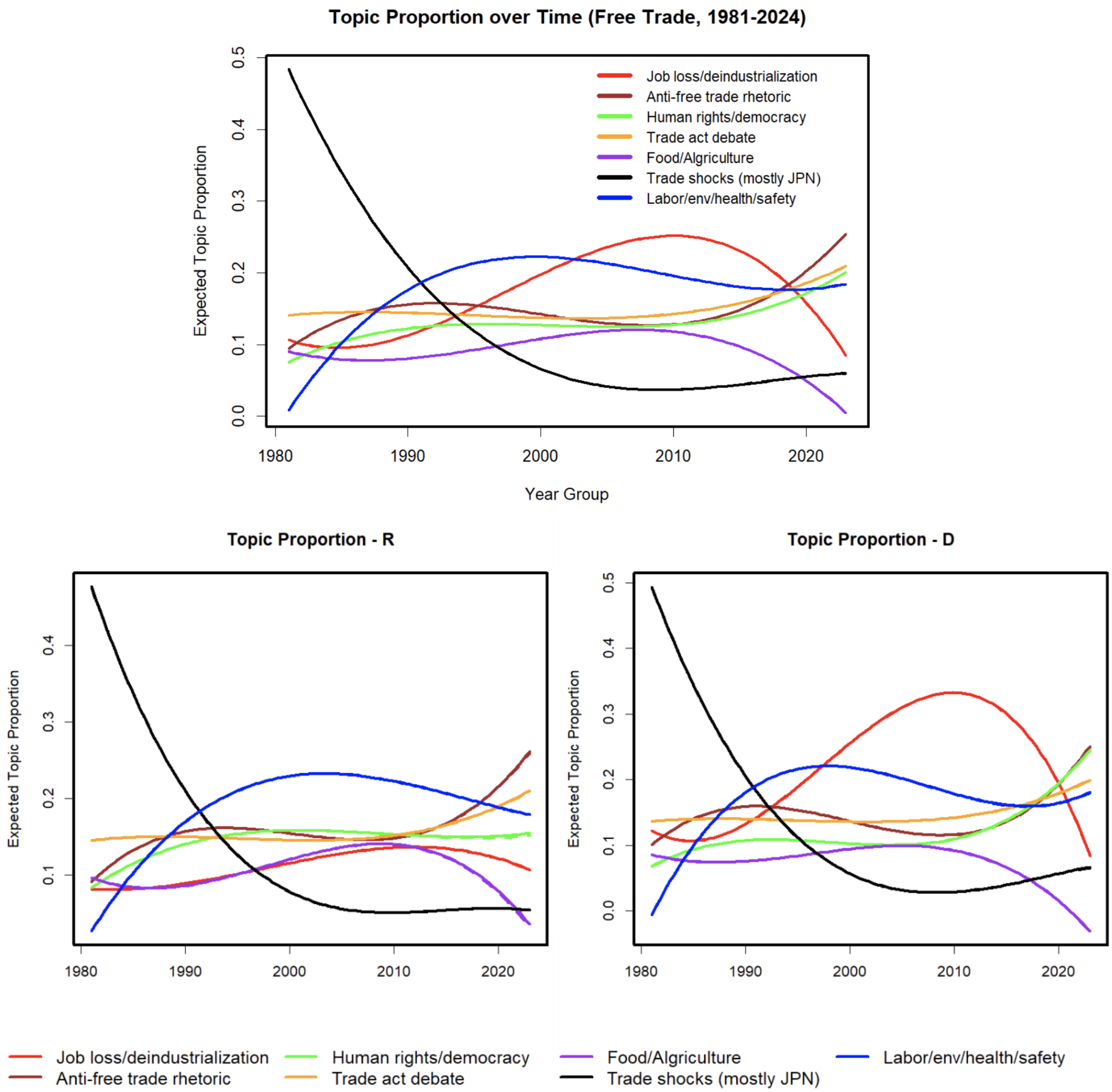


Figure 3: Trade Topic Trends: Congressional Speech on Free Trade

In the 1990s and early 2000s, trade discourse remained more technocratic and partisan: Democrats more often emphasized regional and labor costs, while Republicans more often stressed growth and efficiency. After 2010, however, skepticism rose across both parties and increasingly converged on a common deindustrialization frame. Despite historically divergent positions on free trade, concern over foreign industrial competition was often bipartisan, as illustrated by U.S. responses to Japan in the 1980s. Trump's protectionism combined concerns over deindustrialization and manufacturing decline with a mercantilist emphasis on bilateral trade deficits and unfair foreign practices.

This implies that, as losses spread from disadvantage sectors into sectors regarded as national advantage, protectionism can diffuse from peripheral factions into the party establishment. Logically, losing disadvantage sectors should not prompt these concerns and we do observe that many concerns are increasingly around U.S. advantage sectors. Table 2 illustrates these concerns. Legislators increasingly describe trade not as an external relation but as a self-inflicted vulnerability. This self-referential blame dynamic marks the shift from bottom-up import concerns to advantage defending and from sectoral loss to systemic grievance.

| |
|---|
| "...we are not going to have a strong economy unless we have a strong manufacturing capability, unless companies are reinvesting in Colorado or Vermont, creating good jobs here..." |
| "...This raw deal would be particularly bad for my district and districts around the country that support our domestic auto industry, auto suppliers and parts makers..." |
| "...Detroit and automobile production in this country will be diminished as car manufacturing moves to China..." |
| "...If the United States is to remain a major industrial power... we cannot continue the failed, unfettered free trade policies." |
| "...Chinese imports did overwhelm U.S. industry. The Cato Institute was dead wrong." |
| "...We will buy American airplanes only if they are manufactured in China... That is not fair trade." |
| "...In fact, we were told that permanent normal trade relations with China would create hundreds of thousands of American jobs. Well, not quite." |
| "...China tilts the playing field against American firms, innovators, and workers and gets the technology they need to leapfrog the competition." |

Table 2: Illustrative Congressional Concerns of the Impacts of Free Trade

The speech evidence also runs against competing explanations. If it were driven only by loser politics, rhetoric should remain concentrated around conventionally disadvantaged sectors. Instead, the dominant rhetorical turn is toward deindustrialization and the erosion of sectors associated with national strength. If anti-trade attitudes were driven mainly by a generic rise in security concerns, security frames should dominate the shift. Instead, timing carries the theory's central claim. Anti-trade rhetoric concentrated in U.S. advantage sectors during the Japan episode of the 1980s, receded during the first China shock, and broadened again after 2010. Figure 4 shows similar patterns when legislators mention "trade with China."

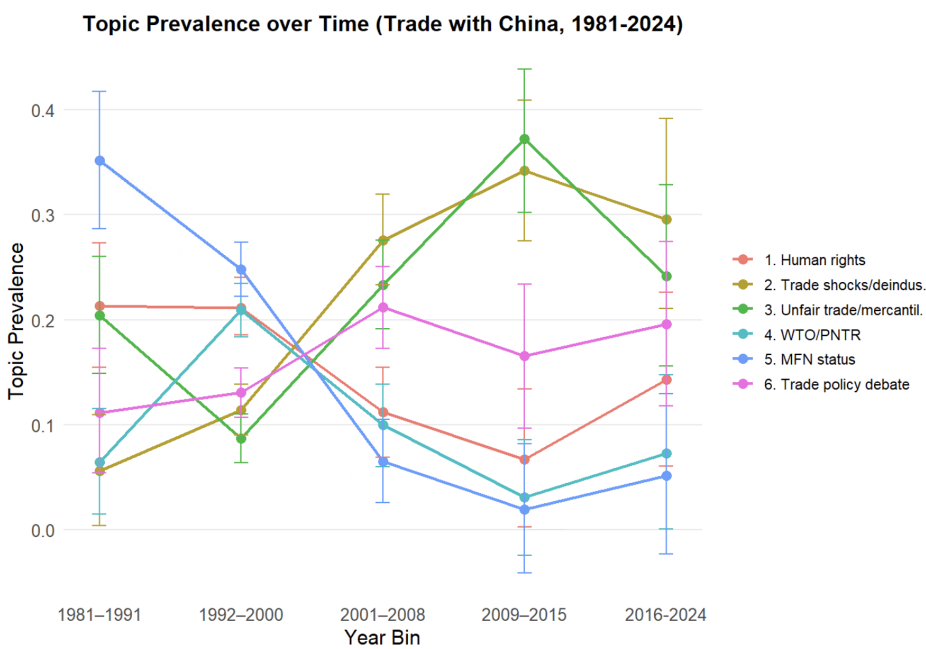


Figure 4: Trade Topic Trends: on China

## 4.2 Main results: the Section 301 action

The central hypothesis of the Section 301 action test is whether contemporary protection concentrates in sectors associated with threatened national strength rather than merely in sectors exposed to import competition in the conventional sense. $\text{MIC2025}_k$ represents both the broad sense of U.S. industrial core and advantage areas and perceived threat from foreign competition. The interaction term $\text{StableCA}_k \times \text{MIC2025}_k$ captures whether stable CA carries additional targeting probability within the domains where China has declared its intention to erode US advantage areas, i.e., threatened winners.

Table 3 displays the results across seven specifications, building from the unconditional

Table 3: Comparative Advantage and the Targeting of Trump's Section 301 Tariffs

| | *DV: Section 301 List 1+2 Targeting* | | | | | |
|---|---|---|---|---|---|---|
| | (1) | (2) | (3) | (4) | (5) | (6) |
| Stable CA × MIC 2025 | 0.108*** | 0.181*** | 0.188*** | 0.199*** | 0.200*** | 0.147*** |
| | (0.035) | (0.033) | (0.032) | (0.031) | (0.031) | (0.033) |
| MIC 2025 | 0.469*** | | | | | 0.286*** |
| | (0.018) | | | | | (0.021) |
| Stable CA | 0.057*** | 0.017** | −0.012 | −0.030*** | −0.033*** | −0.010 |
| | (0.012) | (0.007) | (0.008) | (0.008) | (0.008) | (0.013) |
| Log US export value | | | 0.020*** | 0.000 | 0.004 | 0.005 |
| | | | (0.003) | (0.003) | (0.003) | (0.004) |
| Import penetration | | | −0.032 | −0.004 | 0.003 | −0.021 |
| | | | (0.056) | (0.048) | (0.050) | (0.050) |
| Log value-added | | | 0.062*** | 0.040** | 0.035** | −0.036*** |
| | | | (0.017) | (0.017) | (0.016) | (0.007) |
| Log employment | | | −0.026 | −0.013 | −0.012 | 0.061*** |
| | | | (0.021) | (0.020) | (0.020) | (0.010) |
| China import share | | | | −0.221*** | −0.192*** | −0.210*** |
| | | | | (0.033) | (0.032) | (0.029) |
| China RCA | | | | −0.008** | −0.006* | −0.003 |
| | | | | (0.003) | (0.003) | (0.003) |
| Log US–China exports | | | | 0.020*** | 0.017*** | 0.025*** |
| | | | | (0.003) | (0.003) | (0.003) |
| Intermediate good | | | | | −0.141*** | −0.186*** |
| | | | | | (0.025) | (0.023) |
| Consumer good | | | | | −0.209*** | −0.220*** |
| | | | | | (0.026) | (0.024) |
| HS-2 FE | No | Yes | Yes | Yes | Yes | No |
| NumObs | 4162 | 4162 | 4023 | 4023 | 4023 | 4023 |
| $R^2$ | 0.369 | 0.515 | 0.529 | 0.546 | 0.560 | 0.435 |

* $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$

interaction to the fully controlled specification. The coefficient of $\text{StableCA}_k \times \text{MIC2025}_k$ tests H1. It is positive and significant in every specification, from 10.8 percentage points unconditionally (column 1) to 20.0 percentage points in the fully specified model (column 5). Column 2 adds chapter fixed effects alone. These absorb chapter-level confounders, such as political organization or lobbying capacity, that correlate with MIC2025 designation, comparative advantage, or targeting. Columns 3 through 5 add the three groups of controls progressively: sectoral factors in column 3, China factors in column 4, and product-type factors in column 5. Column 6 repeats column 5 but relaxes chapter fixed effects to allow for the coefficient of MIC2025.

Overall, MIC2025-designated chapters, representing the broadly perceived threat to U.S. advantage areas, receive systematically higher targeting probability (46.9 and 28.6 percentage points more in columns 1 and 6, respectively). Within MIC2025-designated chapters, furthermore, durable comparative advantage in refined HS-6 sectors predicts a 16.7 percentage point higher probability of targeting — targeting exactly concentrates in threatened advantage sectors. Durable comparative advantage outside MIC2025-designated chapters, in contrast, predicts null to slightly lower targeting.

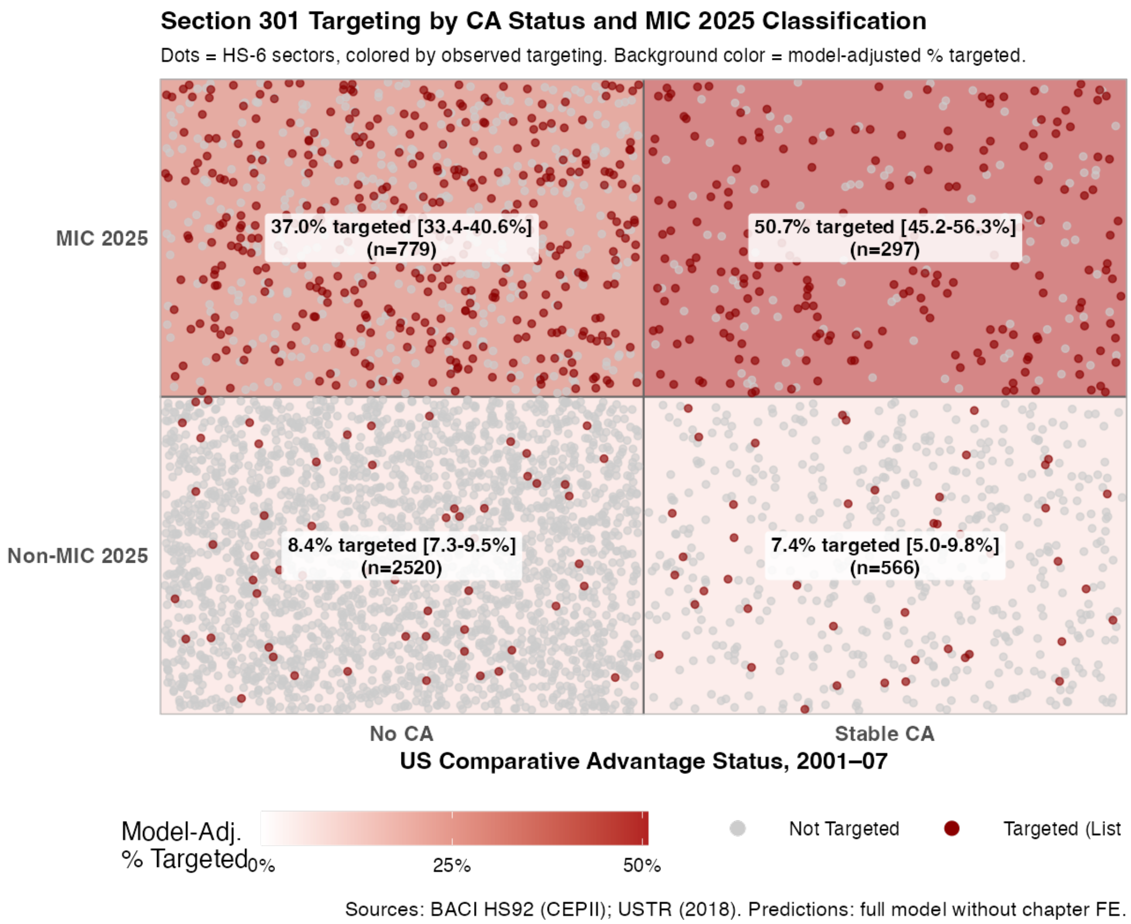


Figure 5: Predicted Section 301 Targeting by CA Status and MIC 2025 Classification. Note: Model-predicted Section 301 targeting probability by CA status and MIC2025 classification, with 95% CIs; dots show raw observed targeting outcomes.

In Figure 5, each panel shows the same four-cell grid — U.S. durable comparative advantage status (2001-07) crossed with MIC2025 classification — with predicted probabilities of Section 301 targeting from the full specification (Table 1, column 6), computed via average adjusted predictions holding all other covariates at their observed values. Within MIC2025 chapters, the model predicts 37.0% and 50.7% probability of Section 301 targeting for nonstable-CA and stable-CA sectors, respectively.

## Robustness Checks

Table 4 confirms that the findings are robust to an array of alternative specifications: the interaction term remains positive and significant when restricting to List 1 ($34B, more

Table 4: Robustness: List Split, Aggregation Level, and Pre-Period Window

| | (1) List 1 | (2) List 2 | (3) HS-4 Unit | (4) RCA 2001-16 | (5) MIC HS-4 |
|---|---|---|---|---|---|
| Stable CA × MIC 2025 | 0.226*** | 0.098** | 0.222*** | 0.153*** | −0.019 |
| | (0.032) | (0.040) | (0.060) | (0.032) | (0.045) |
| Stable CA | −0.046*** | −0.001 | 0.008 | −0.025*** | 0.043*** |
| | (0.005) | (0.007) | (0.016) | (0.008) | (0.013) |
| MIC 2025 | | | | | 0.185*** |
| | | | | | (0.033) |
| Control | Yes | Yes | Yes | Yes | Yes |
| HS-2 FE | Yes | Yes | Yes | Yes | Yes |
| Unit of Analysis | HS-6 | HS-6 | HS-4 | HS-6 | HS-6 |
| *NumObs* | 3875 | 3530 | 940 | 4023 | 4023 |
| $R^2$ | 0.542 | 0.477 | 0.677 | 0.556 | 0.561 |

* p < 0.1, ** p < 0.05, *** p < 0.01
Note: Robustness across list split, aggregation level, and pre-period window; interaction holds except under the narrow HS-4 MIC2025 list (designation effect).

narrowly MIC2025-focused) or List 2 ($16B, broader extension), when aggregating to HS-4 levels for the unit of analysis, and RCA constructed using an extended 2001-2016 window before Trump's election, bracketing the baseline estimate throughout. Column (5) redefines MIC 2025 using the narrower HS-4 list of 70 specific sectors that I manually mapped from the Made in China 2025 policy's named areas; although the interaction itself is null, products with both stable CA and MIC2025 status still show the highest predicted targeting probability of the four groups, and sectors on the more refined MIC2025 list are targeted at uniformly higher rates.

**Sectoral competitiveness.** A concern regarding the main result is that "stable comparative advantage" merely proxies for sectors where the US is generally more productive or higher value-added, rather than capturing a distinct comparative advantage-defense logic. This check (Appendix) merges log sector value-added and five-factor total factor productivity from the NBER-CES Manufacturing Industry Database, averaged 2001-2007 and matched via HS-6-to-NAICS-4 concordance, into the full specification. The interaction is unchanged, and TFP itself is only marginally significant, indicating the result is not a relabeled productivity effect.

**Security.** One other concern is that the comparative-advantage-defense mechanism s difficult to distinguish from a broader national-security or strategic-technology rationale. The MIC2025 measure used throughout is itself substantially a construct of strategic and security matters rather than a competing explanation. The paper's claim is that defense of comparative advantage is concentrated within, not orthogonal to, the sectors the U.S. policy apparatus has already identified as security or strategically significant. To mitigate the concern, I control for a security-sector indicator combining CISA's Critical Manufacturing Sector (NAICS 331/333/335/336) and the USGS 2022 Critical Minerals List, and find the interaction survives essentially unchanged (Appendix).

**Partisanship.** Another factor to consider is political-competitiveness: Fajgelbaum et al. (2020) finds that U.S. Section 301 tariffs favored sectors concentrated in electorally competitive counties (an inverted U-shape), raising the question of whether the main result reflects electoral targeting that may confound comparative-advantage defense. This check (Appendix) similarly constructs a sector-level political-competitiveness measure — the labor-compensation-weighted average 2016 county Republican vote share across each industry's producing counties, matched via the same HS6-to-NAICS4 concordance — and adds it (with its square, allowing for the documented inverted-U relationship) to the full specification.[12] The interaction survives essentially unchanged (0.192 vs. 0.200 baseline).

### Placebo Tests

Three placebo instruments, each following a different logic, are tested against the same specification. With the dependent variable being specific policy targeting, the CHIPS Act (Biden, semiconductor reshoring subsidies) follows a "rebuild lost capacity" logic that should

[12] The sector-level political-competitiveness measure is: $\text{PolExposure}_s = \sum_{r \in R_s} \frac{w_{sr} L_{sr}}{\sum_{r' \in R_s} w_{sr'} L_{sr'}} V_r$, where $R_s$ is the set of counties with employment in industry $s$, $wsrLsr$ is industry $s$'s labor compensation (payroll) in county $r$ (Census County Business Patterns, 2016), and $V_r$ is county $r$'s 2016 Republican presidential vote share (MIT Election Data and Science Lab).

be orthogonal to, or even inversely related to, defending existing comparative advantage; integrated circuits (HS 8541-8542) and semiconductor manufacturing equipment (HS 8486), sectors in which US comparative advantage had collapsed most severely long ago. The interaction is small and insignificant (0.008), consistent with this prediction.

The Inflation Reduction Act's clean-energy provisions (Biden, in EVs/batteries/wind, sectors where the US held little prior advantage) support electric vehicles (HS 8703) and lithium-ion batteries (HS 8507), sectors with limited prior US comparative advantage in which policy is building new productive capacity rather than defending existing positions. The result shows the same null pattern (0.010). Both Biden placebos support instrument specificity: the interaction identified for Section 301 action does not mechanically reappear whenever a dependent variable involves policy-targeting regarding advanced sectors.

Section 232 steel and aluminum tariffs of long-standing US comparative disadvantage (Trump, national-security rationale, chapters 72, 73, and 76) test the mechanism differently. Because Section 232's targeted chapters are entirely disjoint from the HS-2 chapters used to define MIC 2025 status, an interaction term would have no sensible interpretation and is omitted; instead, the model tests whether Stable CA alone predicts Section 232 targeting. The coefficient is negative and significant (-0.081, $p<0.01$), consistent with the prediction that CA-defense logic does not explain security-rationale tariffs — if anything the reverse holds, since Section 232 targeted legacy sectors where the US had already lost, rather than retained, comparative advantage decades earlier.

The bipartisan dimension of the original Section 301 targeting is nonetheless evident in a different way: Biden retained the complete Section 301 product set through 2024, declining to remove tariffs despite sustained pressure from trading partners and domestic industries. The same HS-6 products that Trump's USTR identified as CA-defense priorities in 2018 remained designated as such under two administrations, consistent with the interpretation that the targeting reflects durable structural beliefs about US competitive standing rather than transient partisan politics.

# 5 Cases: Two Trade War Episodes

This section provides further support for the theory through a structured comparison and closer look of two historical episodes, in where and which instruments each government actually used and why. The United States fought two trade conflicts with a rising competitor in its own advantage sectors, one with Japan in the 1980s, one with China from 2018 onward. Both episodes show the similar, but differentiated patterns: aggressive, sector-specific defense concentrated on the American comparative advantage sectors, while sectors already understood as declining were left to decline. However, the U.S.-Japan case reflects a largely sectoral version of the argument, while the U.S.-China case reflects a more systemic version of the same logic.

The two episodes also provide examples of the two liberalization phases distinguished above. Japan's liberalization took place within the postwar Western bloc and reached "equilibrium" once Japan closed the gap in the sectors where there was American disadvantage (e.g., textiles). China's liberalization took place within the expanded post-Cold War trade system, and roughly reached its own "equilibrium" when the first China shock plateaued.

## U.S.-Japan: sectoral threat and bounded protection

Japan's rise in the 1980s threatened American producers across several sectors: textiles, consumer electronics, steel, shipbuilding, automobiles, semiconductors, and precision machinery among them. Contemporary accounts emphasize that U.S. complaints focused on Japan's industrial policy, market access barriers, and exchange-rate practices, but the conflict remained concentrated in specific sectors rather than generalized across the economy (Cohen 1996; Tyson 1992; Prestowitz 1988).

The United States primarily defended only some advantage sectors. Textiles, consumer electronics, and shipbuilding, widely considered comparative disadvantaged, received no new defense (Borrus et al. 1986; Irwin 1996). Textile imports had been under quota since the

Multi-Fiber Arrangement of 1974, a restraint that predates the period this article analyzes and was left to wind down rather than tightened (USITC 1981). Shipbuilding, an industry understood as labor-intensive and already in structural decline, lost its commercial sector almost entirely throughout the decade, and the Reagan administration's response was to cut the subsidies that had supported (Reagan 1986). Consumer electronics assembly received no equivalent instrument at all.

In contrast, automobiles received the most sustained defense: voluntary export restraints (VER) limited Japanese shipments from 1981 to 1994, an instrument renewed and tightened repeatedly (Feenstra 1988). Semiconductors received a comparable defense; the 1986 Semiconductor Arrangement restricted Japanese pricing and guaranteed American producers a fixed share of the Japanese market, and it targeted dumping specifically in memory chips, the segment where Japanese competition was most acute (Irwin 1996; Borrus, Tyson, and Zysman 1986; Reagan 1986). Machine tools received a more aggressive instrument, a 1986 voluntary restraint agreement covering Japan and Taiwan, partly pursued under Section 232 on national-security grounds (U.S. Congress 1987).

The semiconductor case is sharper once disaggregated. American producers did not defend commodity memory production itself. Intel abandoned DRAM manufacturing in 1985, ceding the segment to Japanese and, later, Korean producers, and redirected its capacity to microprocessors, described as a deliberate move toward the chip design segment where American capability commanded the highest margin (Grove 1996; Macher et al. 1998). What the 1986 U.S.-Japan Semiconductor Agreement protected was market access and pricing discipline for the industry as a whole, which benefited the higher-value, design-intensive segment where American firms retained their advantage far more than it protected the memory-chip manufacturing capacity already conceded. The distinction the industry drew for itself, design over commodity manufacturing, is the same logic comparative advantage predicts.

An interesting case is steel. Steel producers petitioned for import relief in 1984. The International Trade Commission recommended it under Section 201's injury standard. President

Reagan rejected that recommendation, judging import relief not in the national economic interest, and instead negotiated voluntary restraint agreements paired with an industry adjustment program (Reagan 1984) This was managed decline from constituent pressure, not advantage-sector defense, an explicit acknowledgment that American steel was no longer competitive, paired with a restraint on the speed of its contraction.

Crucially, the Japanese challenge was widely perceived as serious but bounded. Although fears of "Japan Inc." were salient, the threat did not appear to span the full range of advanced U.S. industries (Friedman 1988; Vogel 1996). The clearest evidence is what the United States did next. Rather than retreat from the trade regime once the Japan disputes settled, it expanded its commitment to it. The North American Free Trade Agreement took effect in 1994, the same year the last of the auto VERs expired (Governments of the United States, Canada, and Mexico 1994).[13] The Uruguay Round Agreements Act, creating the World Trade Organization, took effect one year later.

## U.S.-China: systemic threat and broad-based backlash

The U.S.-China case reflects a more systemic version of the same logic. China's enormous economic size and its systematic state-backed industrial upgrading appeared not as isolated competition in a few sectors, but as a broad movement across a wide range of industrial and technological domains. Under those conditions, policymakers increasingly interpreted trade as a general threat to hollow out the industrial basis of national power.

In the 2000s, China's WTO accession generated large import shocks in labor-intensive manufacturing sectors, primarily interpreted through a conventional adjustment lens (Autor et al. 2013). By the 2010s, however, U.S. policymakers increasingly framed China's trajectory as broad-based upgrading across advanced industrial sectors, supported by state policy, technology acquisition, and integration into global value chains (Lardy 2019; Naughton 2021).

[13]The auto VER itself had exempted cars built in the United States from the quota, and Japanese automakers responded by building American plants, Honda in 1982, Nissan in 1983, Toyota in 1986 (CSIS 2018).

The China conflict since 2018 showed what seemed like the same selective logic at the outset, then broke from Japan's pattern in scope. Official U.S. assessments emphasized that Chinese industrial strategy targeted many high-value sectors simultaneously (USTR 2018). This framing transformed the interpretation of trade. The issue was no longer confined to isolated sectors; it was that the sectors expected to anchor U.S. advantage were themselves being challenged across the board. Section 301 Lists 1 and 2 targeted products in Made in China 2025-designated chapters specifically, of $34 billion and $16 billion respectively, and explicitly excluded consumer goods from their coverage. This did not last. Lists 3 and 4 expanded coverage to $200 billion and $300 billion, progressively relaxing the consumer-goods exclusion that had confined the first two lists, until approximately two-thirds of U.S. imports from China carried additional tariffs (Congressional Research Service 2020).

The tariffs also survived a change of party, a test the Japan episode offers no comparable version of. The Biden administration inherited the Trump tariffs in 2021 and kept them. The instrument itself widened as the conflict continued: from tariffs, to export controls on semiconductors and the equipment that produces them in October 2022 (Bureau of Industry and Security 2022), to restrictions on outbound investment in August 2023 (The White House 2023), to domestic industrial policies under the CHIPS Act and the Inflation Reduction Act aimed at rebuilding lost capacity. Protection for a specific list of strategic sectors became, within several years, a bipartisan reorientation of the trade relationship that neither party has since reversed.

By 2025, this logic moved beyond China entirely. The second Trump administration imposed near-universal tariffs on most U.S. trading partners under emergency economic powers. When the Supreme Court ruled that authority invalid in February 2026, the administration replaced it within the same day using a different statute rather than abandoning the policy (Supreme Court of the United States 2026). What began as a bounded response to a specific competitor had become, within seven years, a general position that trade should not be broadly open, one that survived not only a change of party but a direct defeat in the courts.

This evolution reflects a shift from sectoral to systemic threat. As long as Chinese competition was perceived as concentrated in already disadvantaged sectors, political responses were inert. Once policymakers interpreted China as upgrading into a wide range of sectors associated with U.S. strength, the expectation that trade would reliably reward those sectors eroded. Trade was increasingly framed not as a source of localized adjustment, but as enabling industrial hollowing-out and strategic vulnerability.

The two episodes differ in outcome exactly as the theory predicts, and the difference is visible in what each government did with the rest of its trade policy, not only in the disputed sectors themselves. Once the sectoral threat in the Japan conflict reached settlement, the United States expanded its liberalization commitments elsewhere. When threats are systemic, as in the U.S.-China case, tariff coverage and the range of instruments kept expanding instead, across two administrations of opposing parties. Both episodes also confirm the same within-era pattern: sectors perceived as American strengths received sustained defense; sectors already understood as declining did not, regardless of how much displacement they had already suffered.

# 6 [still deciding whether to add] Microfoundations: Public Opinion Experimentation

If the argument is correct, individuals—like policymakers—should not respond equally to all trade-induced losses. Rather, opposition to trade should be strongest when trade is framed as threatening sectors understood as national strengths. This implication follows directly from the expectation-mismatch mechanism: when trade appears to undermine the sectors that were supposed to justify openness, individuals should interpret it not as routine adjustment, but as evidence that the underlying bargain has broken down.

To assess this implication, I field a survey experiment in which respondents evaluate trade scenarios that vary the type of sector affected. The survey shows the preference foundation behind elite/state protection, as well as ruling out possible competing theories. The key treatment distinguishes between cases in which trade harms (i) conventionally disadvantaged sectors and (ii) sectors described as core to U.S. economic strength, such as advanced manufacturing or high-technology industries. All other elements of the scenario are held constant. The outcome measures respondents' support for maintaining open trade versus adopting protective measures.

Table 5: Design Dimensions of Public Opinion Conjoint Experiment

| **Dimension** | **Levels** |
|---|---|
| **Shock Type** | Disadvantaged sector<br>Higher value-added, but not comparative advantage<br>Higher value-added, comparative advantage (sectoral)<br>Higher value-added, comparative advantage (systemic) |
| **Geopolitics** | Ally vs. adversary<br>Democracy vs. autocracy |
| **Sociotropic Effect** | No overall harm<br>Net harm to U.S. economy |
| [??]**Product Diff. (New Trade Theory)** | No product differentiation<br>Product differentiation |
| [??]**Firm Type (New New Trade Theory)** | Foreign firm<br>Own MNC<br>Localized production |

The results show a clear and consistent pattern. Respondents are significantly more likely to oppose trade when it is framed as threatening sectors associated with national strength than when it affects disadvantaged sectors. This difference is substantively large and robust across specifications. By contrast, losses confined to disadvantaged sectors generate more muted responses, consistent with the idea that such losses are broadly understood as part of the expected adjustment process.

These findings provide micro-level support for the expectation-mismatch argument. Individuals do not react uniformly to trade-induced losses; they react most strongly when trade is described as undermining sectors that symbolize national economic strength and future prosperity. This pattern mirrors the shift in elite rhetoric documented above and reinforces the claim that contemporary backlash is driven not only by who loses from trade, but by whether globalization continues to reward the sectors that originally legitimized it.

# 7 Conclusion

This article has argued that the politics of trade are not governed only by who loses from initial liberalization. They are also governed by whether globalization continues to reward the sectors that originally justified openness. Conventional winner-loser theories are powerful for explaining the politics of opening up and adjustment. But they are less able to explain why backlash often intensifies after liberalization matures. The answer, I have suggested, lies in the breakdown of the trade bargain under after equilibrium.

When trade appears to undermine incumbent advantage sectors, policymakers no longer interpret it as a bargain with manageable costs. They reinterpret it as unfair, harmful to national development, and politically unsustainable. The result is not merely stronger opposition from traditional losers. It is a broader erosion of elite support for openness itself.

This perspective has three implications. First, it shifts the study of trade politics from the distributive consequences of opening up to the political sustainability of openness over time. Second, it shows that elite cueing is itself endogenous to structural changes in the world economy. Elites do not simply transmit attitudes; they revise their own beliefs when the sectors that had legitimized openness appear threatened. Third, it suggests that contemporary anti-globalization politics are not well understood as a delayed reaction to import competition alone. They reflect a deeper crisis in the assumptions that once made liberalization politically feasible.

The broader implication is not that trade is always undesirable, nor that liberalization is always politically doomed. It is that the political durability of openness is conditional. Where globalization continues to deliver visible gains in the sectors expected to anchor national prosperity, pro-trade coalitions can endure. Where it instead appears to erode those sectors, support for openness can unravel rapidly. In that sense, current anti-globalization politics are not simply a reaction to distributional pain. They are a reaction to a perceived failure of the bargain at the core of mature globalization.

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